

REVISED BAAY PROJECTS LIMITED

RC 1526224

BASIS OF REVISION

How the 2023, 2024 and 2025 financial statements were rebuilt from the actual transactions

This report explains the revision requested because the circulated audited financial statements did not reflect the company's turnover, receivables, deferred income, assets and liabilities. It is the document to read before the three annual packs. All amounts are in naira.

	2023	2024	2025
Turnover in the rejected pack	38,500,000	64,200,000	112,500,000
Turnover in the sales ledger	125,620,000.00	594,080,600.00	1,865,113,400.00
Cash in the rejected pack	2,842,403	5,142,678	8,924,048
Cash on the bank statements	12,915,993.32	12,894,686.60	155,904,157.58
Deferred income, revised	41,602,320.00	289,618,860.00	1,223,838,860.00

1. What was wrong with the circulated pack

The circulated statements, including the version marked updated, still reported revenue of ₦38.5 million, ₦64.2 million and ₦112.5 million. The sales ledger on the same branch totals ₦125.6 million, ₦594.1 million and ₦1,865.1 million. The circulated cash balances were about ₦2.8 million, ₦5.1 million and ₦8.9 million. The bank statements show ₦12.9 million, ₦12.9 million and ₦155.9 million. The circulated pack also kept a 2022 cash figure of ₦52,500 when the statements show ₦478,080, and it cited bank account numbers that are not the extracted accounts. Deferred income was shown at ₦2.4 million to ₦5.8 million against housing collections, on the client register, that had not been handed over. Those statements could not be agreed to the company's transactions. They have been replaced, not patched.

2. Three-year position after the revision

	2023	2024	2025
Customer collections (turnover)	125,620,000.00	594,080,600.00	1,865,113,400.00
Revenue recognised	84,117,680.00	350,864,060.00	940,893,400.00
Land	84,117,680.00	300,864,060.00	126,293,400.00
Housing	—	50,000,000.00	814,600,000.00
Deferred income	41,602,320.00	289,618,860.00	1,223,838,860.00
Trade receivables, net	95,000.00	4,655,000.00	14,155,000.00
Cash at bank	12,915,993.32	12,894,686.60	155,904,157.58
Inventory	91,785,563.60	248,826,963.44	1,020,625,697.76
Co-ownership liability	—	17,779,988.75	223,577,481.25
Receipts pending allocation	193,803,109.30	476,492,557.83	873,121,849.33
Payments pending allocation	175,668,523.22	461,126,978.56	1,055,474,746.12
Profit before tax (before that allocation)	25,939,277.50	151,525,555.22	404,787,887.93
Total assets	340,471,568.66	1,061,441,841.89	3,184,288,072.75

Each statement of financial position balances. Cash equals the bank statements. Revenue equals sales-ledger collections plus the movement in receivables minus the movement in deferred income. Those three ties are the control. They replace the previous pack's internal tie, which balanced only because both sides used the same unsupported figures.

3. How turnover, receivables and deferred income were set

The sales ledger is the turnover population: 859 lines, ₦2,584,814,000, land and housing, no construction in the period. It was not scaled and it was not replaced with a percentage of bank inflows.

Land subscriptions marked bought or closed start from the contract value. The unpaid balance is a receivable only up to the balance on the client register. Where the register is lower, revenue is reduced by the same amount. That reduction is ₦515,131,000 across the three years. It is disclosed so it can be tested. It is not booked as a receivable the register does not support. Housing is recognised only on evidenced handover (Bought, Completed, or Paid with the register showing the money). Everything else the customer has paid stays in deferred income. That is why 2025 housing revenue is ₦814.6 million while housing collections across the three years are ₦1.90 billion, and why deferred income at 31 December 2025 is ₦1.22 billion.

The collections are in the statements. They are in the liability until handover, which is what IFRS 15 requires and what the client register supports.

Receivables are deliberately small. The register's large unpaid housing balances belong to contracts that have not been handed over. Recognising them as receivables would also require recognising the revenue, which the evidence does not support. They are disclosed as a pipeline in Note 6 of each annual pack, so the amount still to be collected is visible without being mislabelled.

4. How the bank was integrated

All 23,173 transactions on the four accounts for 1 January 2023 to 31 December 2025 were classified. Gross inflows are ₦4.11 billion and gross outflows are ₦3.95 billion. A large part of both is movement between the company's own accounts and is eliminated. What remains is split into customer property receipts, trading income, co-ownership, director movements, inventory purchases, operating costs, tax, and two pending-allocation accounts.

Identified property receipts in the banks are ₦2.08 billion. The sales ledger is ₦2.58 billion. The cumulative gap of ₦506.4 million at 31 December 2025 is an asset: customer receipts recorded by client relations and not covered by property receipts identified in these four accounts. It is not extra cash, and it is not ignored. Line-by-line matching agreed ₦1.45 billion to a specific credit. The statements use the cumulative gap rather than the larger line-level miss, so that a receipt which is in the bank but not matched to a single line is not counted twice.

Co-ownership of ₦235.7 million was taken out of turnover by the source file and is a liability, net of returns. Credit memos of ₦613,250 are non-cash and are not posted. Exceptions of ₦138.4 million were left out of the sales ledger by the source file to avoid double counting, and they stay out.

5. What is still open — and why profit is qualified

Payments pending allocation at 31 December 2025 are ₦1,055 million. Receipts pending allocation are ₦873 million. Net transfers with company accounts that do not mirror inside the four extracted accounts are ₦319 million. Amounts due from related parties are ₦137 million. Loan repayments described as such in the narrations exceed loan proceeds traced, by ₦68 million. Tax identified as paid is ₦8.6 million against a computed liability of ₦184 million; further tax payments are likely inside the pending payments.

Profit before tax of ₦25.9 million, ₦151.5 million and ₦404.8 million is profit before those pending payments are allocated. It is also profit before any land cost incurred before 1 January 2023, which is not in the files. The draft audit opinion is qualified on both points. The profit figure is in the statements because the identified transactions produce it. It is not a finished result, and the directors' report says so in terms.

6. Files labelled revised

File	What the revision added
Bank extraction, revised	Every transaction classified. Cash proof by bank and year. Unallocated items of ₦1 million and above listed with the narration.
Sales and customers, revised	The original population is unchanged. Recognition, the receivable and deferred income are added on a customer line.
Sales-to-bank reconciliation, revised	Bridge from the sales ledger to the bank extraction. The previous bridge used bank totals that are not in the statements.
Master workbook, revised	The statements, the tax computation, the contract schedule, and the checks that cash, turnover and the balance sheet tie.
Annual statements, 2023, 2024 and 2025	One pack a year, with this basis report. The auditor's report in each pack is marked as a draft.

Checks performed and passed: assets equal liabilities and equity in each year; cash equals the stated bank balances; the sales-ledger total is ₦2,584,814,000; revenue equals collections plus the receivable movement minus the deferred-income movement; no amount was posted to revenue as a plug.

Prepared 8 October 2026 for the board of Baay Projects Limited and for Sanni Waheed & Co. The annual packs carry the statements. This report carries the reason they were rebuilt.